MGT402 - Cost & Management Accounting (Quiz 2)

Question # 2 of 10 (Start time: 04:53:53 PM, 18 June 2025)

According to marginal costing concept, all fixed costs are considered as:

Select the correct option

○	Sunk cost
○	Production cost
○	Mixed cost
◉	Period cost

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 1 of 10 (Start time: 04:53:33 PM, 18 June 2025)

Which of the following does not use process costing?

Select the correct option

○	Pharmaceutical companies
○	Textile companies
○	Cement companies
◉	Accounting firms

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 3 of 10 (Start time: 04:54:10 PM, 18 June 2025)

Half-completed 100 units can be regarded as:

Select the correct option

◉	50 equivalent completed units
○	250 equivalent completed units
○	None of the given options
○	150 equivalent completed units

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 1 of 10 (Start time: 04:57:43 PM, 18 June 2025)

When closing stock is over valued, what would be its effect on profit?

Select the correct option

○	No effect on profit
○	Cannot be determined
◉	It will increase the profit
○	It will decrease the profit

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 8 of 10 (Start time: 04:59:56 PM, 18 June 2025)

Which of the following does not use process costing?

Select the correct option

○	Textile companies
○	Pharmaceutical companies
○	Cement companies
●	Accounting firms

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 7 of 10 (Start time: 04:59:40 PM, 18 June 2025)

Which of the following cost is NOT account for in the cost of production report?

Select the correct option

○	Direct material cost
◉	Selling & administrative expenses
○	Factory overhead cost
○	Direct labor cost

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 9 of 10 (Start time: 04:55:56 PM, 18 June 2025)

The point at which joint product costs become separately identifiable is known as the:

Select the correct option

○	None of the given options
○	Joint processing cost
○	Relative sales value point
◉	Split-off point

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 4 of 10 (Start time: 04:58:36 PM, 18 June 2025)

Profit under absorption costing will be higher than under marginal costing if:

Select the correct option

○	Produced units =Units sold
○	Profit cannot be determined with given statement
◉	Produced units > Units sold
○	Produced units < Units sold

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 5 of 10 (Start time: 04:54:45 PM, 18 June 2025)

Profit under absorption costing will be higher than under marginal costing if:

Select the correct option

○	Produced units < Units sold
●	Produced units > Units sold
○	Produced units =Units sold
○	Profit cannot be determined with given statement

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 8 of 10 (Start time: 04:55:40 PM, 18 June 2025)

Which of the following is/are reported in production cost report?

Select the correct option

○	The costs charged to the department
○	The equivalent units of production by the department
○	How the costs were assigned to the output?
◉	All of the given options

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 10 of 10 (Start time: 04:56:10 PM, 18 June 2025)

When 10,000 closing units of work-in-process are 30% completed as to conversion, it means:

Select the correct option

○	30% of the units are completed
◉	Each of the unit is 30% completed
○	Each unit has been completed to 70% of its final stage
○	70% of the units are completed

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 5 of 10 (Start time: 04:58:52 PM, 18 June 2025)

Quantity schedule is one of the important components of which of the following report?

Select the correct option

○	Annual report of company
○	None of the given options
○	Auditor's report
◉	Cost of production report

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 10 of 10 (Start time: 05:00:29 PM, 18 June 2025)

In cost of production report, if, equivalent units with respect to: Direct material: 800; Direct labor: 500; and FOH: 450

Required: Identify "FOH cost per unit " if factory overhead cost is Rs. 1600.

Select the correct option

○	Rs. 3.20
○	Rs. 2.00
○	Rs. 1.71
◉	Rs. 3.56

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 7 of 10 (Start time: 04:55:24 PM, 18 June 2025)

Following calculation has been extracted from the section of 'Equivalent Units Produced' of cost of production report.

Direct labor & FOH = 1500+ (? x 30%) = 1530

Required: Identify the missing value of units in process which are used in above working.

Select the correct option

- ○ 30 units
- ○ 1530 units
- ◉ 100 units
- ○ 1500 units

MGT402 - Cost & Management Accounting (Quiz 2) — Quiz Start Time: 04:57 PM, 18 June 2025

Question # 3 of 10 (Start time: 04:58:19 PM, 18 June 2025) — **Total Marks:** 1

If cost per equivalent unit, equivalent units of output and closing stock of a plastic toy manufacturing company given as Rs. 1.60 per unit, 50,000 and 10,000 units (40% completed) respectively, what would be the value of closing stock?

Select the correct option

- ○ Rs. 9,600
- ○ Rs. 80,000
- ◉ Rs. 6,400
- ○ Rs. 16,000

Click to Save Answer & Move to Next Question

MGT402 - Cost & Management Accounting (Quiz 2)

Question # 6 of 10 (Start time: 04:59:08 PM, 18 June 2025)

Which one of the following statements is Correct while comparing common cost and joint cost?

Select the correct option

- (●) Common cost is sometimes used as joint cost
- ( ) Both have the same objective of assigning production cost to cost center
- ( ) The terms can be correctly used interchangeably
- ( ) They differ since common cost products or services have been obtained separately

MGT402 - Cost & Management Accounting (Quiz 2)

Quiz Start Time: 04:53 PM, 18 June 2025

Question # 6 of 10 (Start time: 04:55:03 PM, 18 June 2025)

Total Marks: 1

If units started in process are 35,000, units still in process are 5,000 and degree of completion is 100% materials & 40% conversation cost. Which of the following is Equivalent Production quantity of FOH cost?

Select the correct option

Reload Math Equations

- ( ) 35,000 Units
- ( ) 2,000 units
- (●) 32,000 units
- ( ) 30,000 units

Click to Save Answer & Move to Next Question

MGT402 - Cost & Management Accounting (Quiz 2) Quiz Start Time: 04:53 PM, 18 June 2025

Question # 4 of 10 (Start time: 04:54:26 PM, 18 June 2025) Total Marks: 1

During the month if 12,500 units were completed, 1,500 (completed up to 35%) units remained in work in process, how many equivalent units are produced?

Select the correct option

Reload Math Equations

- 1,500 units
- 12,500 units
- None of the given options
- 13,025 units

Click to Save Answer & Move to Next Question

MGT402 - Cost & Management Accounting (Quiz 2) Quiz Start Time: 04:57 PM, 18 June 2025

Question # 9 of 10 (Start time: 05:00:11 PM, 18 June 2025) Total Marks: 1

A bag manufacturing concern completed 1500 units and 500 units are still in process (100% completed with respect to material and 75% completed with respect to conversion cost).

Required: What is equivalent unit produce of direct material?

Select the correct option

Reload Math Equations

- 1500
- 2000
- 500
- 1000

Click to Save Answer & Move to Next Question

MGT402 - Cost & Management Accounting (Quiz 2)

Quiz Start Time: 04:57 PM, 18 June 2025

Question # 2 of 10 (Start time: 04:58:02 PM, 18 June 2025)

Total Marks: 1

At the end of the accounting period, a production department manager submits a production report that shows all of the following EXCEPT:

Select the correct option

- ○ Number of units in the ending work in process and their estimated stage of completion
- ◉ Number of units sold
- ○ Number of units completed
- ○ Number of units in the beginning work in process

Click to Save Answer & Move to Next Question